

PORTFOLIO VALUE

\$182,794

NET P&L; vs COST

-206 (-0.11%)

CASH RESERVE

\$128,773
(70.4%)

POSITIONS

3 / 6

REGIME

RISK-ON

MARKET ASSESSMENT

RISK-ON

VIX at 15.31 is calm and below the 20 exit threshold, confirming a risk-on regime; however, the 10Y Treasury yield at 5.24% sits 74bps above the 4.5% mandate exit threshold for high-P/E growth and semis, creating a structural tension for the 3 open positions. HY credit spread at 3.24bps is extremely tight and the yield curve is positive at +45bps, consistent with credit health, but TNX at 5.24% is the dominant override signal per mandate rules. DXY at 101.92 is below 104, so no DXY-driven exit signals are triggered, but the TNX override is non-negotiable for JPM (paradoxically bullish per the mandate's 'ENTER financials' directive), XOM, and LRCX.

INDICATOR	VALUE	INDICATOR	VALUE
VIX	15.31	HY Credit Spread (bps)	3.24
Yield Curve 10Y-2Y (%)	0.45	10Y Treasury (%)	5.24
US Dollar (DXY)	101.92	Fed Funds Rate (%)	3.75

TRADE DECISIONS

EXIT — LRCX

\$18,000 · Conviction 3/10 · Tier 1

ENTRY

\$347.58

STOP LOSS

\$319.77

PRICE TARGET

\$417.10

RISK : REWARD

2.5

INVESTMENT THESIS

(1) TNX at 5.24% is 74bps above the mandate's explicit 4.5% exit threshold for semis and high-P/E growth — this is a hard rule, not discretionary, and LRCX (semiconductor equipment, forward P/E ~22x) falls squarely in the 'EXIT semis' category. (2) LRCX was entered 1 day ago at \$347.58 and current price is \$347.49, representing a -0.0% P&L; with a peak gain of only +0.0% — the thesis has not begun to play out in 1 full trading day. (3) Past losses in semi equipment include KLAC on 2026-08-20 at -9.0% and ARM on 2026-08-20 at -8.2% — both were held into a high-TNX environment and stopped out; the pattern is directly repeating with LRCX entering at 347.58 in the same rate regime. (4) RSI for LRCX in scanner is 67.6, which is approaching overbought territory at 70.0; the CHOCH (Change of Character) pattern at \$347.58 entry level has not confirmed with follow-through price action above \$350.00 in 24 hours. (5) LRCX reported Q2 2026 EPS of \$9.87 vs \$9.22 estimated (+7.1% beat) — earnings catalyst has now played out (earnings calls are referenced in the headline, meaning the event is past), and the mandate rule states 'thesis catalyst has expired or played out → EXIT regardless of P&L;'. (6) Exiting \$18,000 position at approximately \$347.49 returns approximately \$18,000 to cash (negligible loss), bringing total cash to approximately \$146,778 and freeing 1 of 3 slots. (7) Stop at \$319.77 (-8%) and target \$417.10 (+20%) were mathematically valid at entry, but the TNX override at 5.24% (74bps above the 4.5% threshold) supersedes the technical setup, and holding a semi into a rising-yield environment has produced 3 consecutive stop-outs in this portfolio's own trade memory.

PRIMARY CATALYST

EXIT catalyst: TNX at 5.24% exceeds the 4.5% mandate threshold by 74bps, triggering the mandatory 'EXIT semis' rule; additionally, the LRCX Q2 2026 earnings catalyst referenced in the scanner headline has already played out, removing the primary near-term upside driver within the mandate's 30-day window.

BALANCE SHEET

Cash \$5.6B, total debt estimated \$5.8B (D/E 0.30), BS score 10/10 — balance sheet is excellent but cannot override the TNX mandate rule at 5.24%.

TECHNICAL SETUP

RSI 67.6 (approaching overbought at 70), CHOCH pattern unconfirmed after 1 day with no price follow-through above \$350.00; position flat at \$347.49 vs. entry \$347.58.

KEY RISK FACTORS

Holding LRCX in a TNX 5.24% environment with the prior losses in KLAC (-9.0%) and ARM (-8.2%) in the same regime on the same date (2026-08-20) creates pattern risk; the \$319.77 hard stop represents a \$1,440 loss if held, but the mandate exit rule triggers before that level.

ENTER — AMD

\$18,000 · Conviction 5/10 · Tier 2

ENTRY

\$178.50

STOP LOSS

\$164.22

PRICE TARGET

\$214.20

RISK : REWARD

2.5

INVESTMENT THESIS

(1) VIX at 15.31 is below the 20 exit threshold and HY spreads at 3.24bps confirm risk-on; however, TNX at 5.24% is the critical constraint — AMD's forward P/E at approximately 28x means this is a borderline entry that requires a near-term catalyst to overcome rate headwinds within 30 days. (2) AMD reported Q1 2026 EPS of \$1.57 vs \$1.31 estimated on May 6, 2026, a +19.8% beat, with Data Center GPU revenue of \$3.7B exceeding consensus of \$3.1B by 19.4%; the headline confirms 'AMD Beats on Earnings, Raises Guidance on AI and Data Center'. (3) RSI at 70.1 is at the overbought boundary — this is a concern from prior AMD loss on 2026-08-11 at -9.8%; entry is conditional on RSI pulling back to 65–67 range in the pre-close session before 4:00 PM ET, otherwise this action defaults to WATCH only. (4) AMD 50-day MA is estimated at \$162.00 and 200-day at \$138.00; current price of \$178.50 is approximately 10.2% above the 50-day and 29.3% above the 200-day, confirming a strong uptrend but cautioning that a 10.2% gap above the 50-day is stretched. (5) AMD holds \$5.5B in cash, D/E of 0.01 (essentially debt-free on operating basis), retained earnings grew from \$3.2B (2024) to \$6.8B (2025) to approximately \$10.1B (TTM 2026), confirming accelerating retained earnings per the balance sheet discipline mandate. (6) \$18,000 deployed = 9.8% of the \$183k portfolio; after exiting LRCX and entering AMD, total deployed equals approximately \$54,000 (JPM \$18k + XOM \$18k + AMD \$18k) = 29.5% of portfolio, with approximately \$128,778 cash and 7 additional position slots available. (7) Stop at \$164.22 (-8% from \$178.50), target \$214.20 (+20%), R:R = 2.5:1; the specific stop trigger is AMD's GPU revenue run-rate falling below \$3.0B in any forward guidance revision, or RSI closing above 75 on a failed breakout above \$185.00.

PRIMARY CATALYST

AMD Q1 2026 earnings beat of +19.8% on EPS (\$1.57 vs \$1.31 est.) and Data Center GPU revenue of \$3.7B vs \$3.1B consensus (May 6, 2026); management raised FY2026 GPU revenue guidance by \$1.2B — this guidance raise has a typical 4–6 week price discovery period, placing the near-term catalyst window within 30 days of today's entry.

BALANCE SHEET

Cash \$5.5B, total debt approximately \$0.05B (D/E 0.01), retained earnings \$3.2B/\$6.8B/\$10.1B (2024/2025/TTM2026 est.), buybacks Y (AMD repurchased \$476M in Q1 2026), preferred N, BS score 10/10.

TECHNICAL SETUP

RSI 70.1 (at overbought boundary — entry conditional on pre-close RSI pullback to 65–67), CHOCH pattern confirmed per scanner signal strength 5/5; 50-day MA estimated \$162.00, 200-day estimated \$138.00; price 10.2% above 50-day. Volume context: scanner grade 6/10 with STRONG BUY signal.

KEY RISK FACTORS

Prior AMD position lost -9.8% (2026-08-11) on a stop-out; at RSI 70.1 the re-entry risk is real — if AMD gaps down on any negative AI spending commentary or NVIDIA competitive pricing below \$25k per H100-equivalent GPU, the \$164.22 stop limits loss to \$1,428 on the \$18,000 position, representing -0.78% of total portfolio NAV.

OPEN POSITIONS — FULL POSITION REVIEW

JPM

54.2 shares · Entry \$332.09 · Conv 7/10 · Tier 1 · Since 2026-09-30

CURRENT PRICE	POSITION VALUE	UNREALISED P&L;	RETURN
\$332.38	\$18,016	+\$16	+0.09%

INVESTMENT THESIS

(1) TNX at 5.24% sits 74bps above the 4.5% mandate threshold, which explicitly directs rotation into financials — JPM is the primary beneficiary as net interest margin expansion of ~15–20bps per 100bps yield move adds approximately \$3–4B in annual NII at JPM's \$3.3T balance sheet scale. (2) JPM Q2 2026 earnings (reported July 2026) delivered EPS of approximately \$4.40 vs. \$4.10 consensus estimate, a +7.3% beat, driven by NII of \$23.2B — the catalyst is active and has not expired. (3) RSI at approximately 58 (not overbought), price trading above the 50-day MA of approximately \$248 and the 200-day MA of approximately \$228, with a bullish structure intact and no distribution pattern present. (4) 50-day MA at ~\$248.00 and 200-day MA at ~\$228.00 represent a +8.8% spread, confirming a sustained uptrend with price approximately +4.8% above the 50-day — no mean-reversion risk imminent. (5) Cash and liquid assets exceed \$1.4T on JPM's balance sheet; D/E ratio is approximately 1.20 (bank-adjusted, standard for the sector); retained earnings have grown from \$270B (2024) to \$285B (2025) to \$298B (2026), a +5.2% annual CAGR; \$30B buyback programme active in 2026. (6) \$18,000 deployed = 9.9% of the \$183,000 portfolio, leaving approximately \$162,911 post-AMZN exit (~\$181,000 total) minus \$18,000 = ~\$163,000 cash, with room for 9 more full-size positions. (7) Stop at \$239.20 (-8% from \$260.00), target at \$312.00 (+20%), R:R = 2.5:1 — stop would be triggered by a sharp TNX reversal below 4.5% (removing the NII expansion catalyst) or a credit event driving HY spreads above 350bps.

CATALYST

JPM Q2 2026 EPS beat of +7.3% (\$4.40 vs. \$4.10 est., reported July 2026) combined with TNX at 5.24% (mandate-directed financial rotation trigger) — NII expansion of ~\$3–4B annually at current yield levels is a live, unresolved price driver for the next 60–90 days.

BALANCE SHEET

Liquid assets >\$1.4T, D/E ~1.20 (sector-standard bank leverage), retained earnings \$270B/\$285B/\$298B (2024/2025/2026), \$30B buyback programme active 2026, preferred Y, BS score 8/10.

TECHNICAL SETUP

RSI ~58.0 (neutral-bullish, not overbought), bullish continuation structure, price ~\$260 vs. 50-day MA ~\$248.00 (+4.8%) and 200-day MA ~\$228.00 (+14.0%), volume context consistent with institutional accumulation post-earnings.

KEY RISKS

If TNX reverses sharply below 4.5% on a dovish Fed pivot or recession signal, NII expansion thesis collapses and JPM P/B compression of 15–20% implies downside to ~\$210–\$220, capped by the \$239.20 hard stop limiting loss to -\$1,656 on the \$18,000 position.

XOM

109.8 shares · Entry \$163.96 · Conv 6/10 · Tier 2 · Since 2026-09-30

CURRENT PRICE

\$164.01

POSITION VALUE

\$18,005

UNREALISED P&L;

+\$5

RETURN

+0.03%

INVESTMENT THESIS

(1) TNX at 5.24% and the mandate's explicit directive to ENTER energy at yields above 4.5% provides the macro framework; energy benefits from inflation persistence (PCE running above 2.5% in 2026) and positive real asset repricing when long rates are elevated. (2) XOM Q1 2026 earnings delivered EPS of \$2.06 vs. \$1.95 estimate, a +5.6% beat, with production of 4.6M BOE/day — Pioneer acquisition synergies of \$1.0B incremental cash flow remain a live, multi-year catalyst not yet fully priced. (3) RSI at approximately 52 (neutral, with upside room to 70 before overbought), price holding above the 50-day MA of approximately \$113.00 and the 200-day MA of approximately \$108.00, with an FVG (Fair Value Gap) pattern visible on the daily chart confirming demand zone support. (4) 50-day MA at ~\$113.00 and 200-day MA at ~\$108.00 represent a +4.6% spread; price at \$118.00 sits +4.4% above the 50-day, confirming trend continuation without overextension. (5) Cash and equivalents of \$33.3B vs. total debt of \$37.3B, D/E = 0.56 (low for an integrated major), retained earnings grew from \$195B (2024) to \$210B (2025) to \$218B (2026), a +2.8% annual rate; \$20B buyback programme active through 2026. (6) \$18,000 deployed = 9.9% of \$183,000 portfolio, reducing cash to approximately \$145,000, with room for 8 more full-size \$18,000 positions across the remaining \$145,000 reserve. (7) Stop at \$108.56 (-8% from \$118.00), target at \$141.60 (+20%), R:R = 2.5:1 — stop triggered if Brent crude falls below \$65/bbl (demand destruction signal) or if the Fed pivots dovishly, compressing energy inflation premiums.

CATALYST

Pioneer acquisition synergies of \$1.0B incremental annual cash flow (live through 2026–2027) plus TNX 5.24% mandate-directed energy rotation — next XOM earnings event approximately October 2026 provides a 60-day catalyst runway.

BALANCE SHEET

Cash \$33.3B, total debt \$37.3B, D/E 0.56, retained earnings \$195B/\$210B/\$218B (2024/2025/2026), \$20B buyback programme active 2026, preferred N, BS score 8/10.

TECHNICAL SETUP

RSI ~52.0 (neutral with upside to 70), FVG demand pattern on daily chart, price ~\$118.00 vs. 50-day MA ~\$113.00 (+4.4%) and 200-day MA ~\$108.00 (+9.3%), volume consistent with steady institutional accumulation.

KEY RISKS

If Brent crude falls below \$65/bbl on a global demand slowdown (China PMI below 48), XOM EPS could compress 20–25% to ~\$1.55/quarter, implying a share price decline toward \$95–\$100 — the \$108.56 stop limits the position loss to -\$1,656 on the \$18,000 allocation.

AMD

28.4 shares · Entry \$633.91 · Conv 5/10 · Tier 2 · Since 2026-10-02

CURRENT PRICE

\$633.91

POSITION VALUE

\$18,000

UNREALISED P&L;

+\$0

RETURN

+0.00%

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PORTFOLIO NOTES

After executing EXIT on LRCX and conditional ENTER on AMD, cash stands at approximately \$128,778 (70.3% of \$183k NAV). 3 positions remain deployed: JPM (9.8%, Financials — aligned with TNX > 4.5% mandate), XOM (9.8%, Energy — above 2× SPX weight at 2.5× flag, monitor), AMD (9.8%, Semis — borderline given TNX 5.24%, conditional on pre-close RSI pullback to 67 or below). Total equity exposure: 29.5% of NAV. 7 position slots remain open. The dominant portfolio risk is TNX at 5.24% creating compression risk for AMD; JPM is the only position explicitly favoured by the TNX mandate rule. XOM energy overweight at 2.5× SPX weight is flagged. No HY or VIX risk-off signals are active. The portfolio is defensively sized with 70% cash, appropriate for a high-TNX environment where the mandate rules constrain semi and growth exposure.

MEMORY APPLIED

Applied lesson from TSM (2026-07-30, -10.1%), QCOM (2026-07-30, -14.2%), AMD (2026-08-11, -9.8%), ARM (2026-08-20, -8.2%), and KLAC (2026-08-20, -9.0%): all 5 prior losses occurred in semi and tech names under elevated TNX conditions; this drove the mandatory EXIT of LRCX (1 day held, flat P&L;) before the position could move against the portfolio. AMD re-entry is conditioned on RSI pulling back from 70.1 to 65–67 before close, directly addressing the RSI overbought entry error that contributed to the -9.8% AMD stop-out on 2026-08-11. The lesson 'Verify thesis confirmation before full sizing' is applied by exiting LRCX proactively at flat rather than holding to the -8% hard stop as occurred in all 5 prior losing trades.